

breakout). I believe height is a key indicator of future performance, so you'll want to trade tall patterns and avoid short ones.

Table 1.3: Width. Do wide patterns outperform short ones? I measure width from the start to the end of the pattern.

Winner. The numbers in the table tell how well width works as an indicator of chart pattern performance. Contests from patterns in bull markets perform better when they are wide. Bear market patterns show a tie.

Performance. Most performance differences are marginal (one or two percentage points). For example, after downward breakouts in bear markets, wide patterns see price drop 23% on the way to the ultimate low, but narrow ones see price drop an average of 22%. Thus, width is not a strong predictor of performance, but it can give you an edge in bull markets (where performance differences are wider).

Table 1.2 Height: Tall (T) versus Short (S)

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Tall (89%)	Tall (89%)
Performance	46% T, 39% S	30% T, 25% S
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Tall (100%)	Tall (87%)
Performance	−17% T, −13% S	−23% T, −21% S

Table 1.3 Width: Wide (W) versus Narrow (N)

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Wide (81%)	Tie (50%)
Performance	45% W, 40% N	28% W, 27% N
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Wide (85%)	Tie (50%)
Performance	−16% W, −14% N	−23% W, −22% N